

PERSONAL CONNECTION: TURNING DOWN FREE MONEY

When I was hired by my school, I was taken to meet our lovely human resources (HR) representative and fill out the initial hiring paperwork. After I arbitrarily filled out the W-4, the representative asked me if I wanted to participate in the 401(k) program. Which, as I mentioned, is basically asking “Do you want to participate in a program that is going to give you tax breaks, free money because of our employer match, and help you save for retirement?” Because I was so, so unknowledgeable, I opted out of this program. The helpful HR rep even asked me multiple times if I really wanted to pass up the opportunity.

Eventually, when I learned what a 401(k) is, I sprinted back down the hall to the HR representative’s office and enrolled. Because I had not participated for so many years, I now had to be much more aggressive in my contributions. Had I known about this earlier, I could have just set aside a small amount, and it would have compounded into a hefty retirement fund over time. Instead, I had to account for my ignorance and contribute a lot more to make up for the time I had lost.

Don’t be like me. If someone asks you if you want to participate in a 401(k) with matching, you say, “Absolutely, I do,” and watch your retirement account grow. Also, it took me years to even research what a 401(k) is. If something may impact your life and you don’t know what it is, figure out what it is. Don’t choose to stay in the dark because you are afraid to ask someone how it works. And if a knowledgeable HR representative is trying to help you invest in your future, you should probably listen.